

players to look for potential M&A options and shape potential strategic consolidation in the private sector in the year/s ahead.

2. Improvement in Asset Quality

Quality The banking sector has seen significant improvement in its asset quality. According to the Reserve Bank of India's (RBI) financial stability report, gross NPAs of the banks stood at 5.9 per cent as of March 2022, whereas net NPAs stood at 1.7 per cent. This is a significant decline from the peak gross NPAs of 11.5 per cent seen in March 2018. A focus on recoveries, settlements, invoking the Insolvency and Bankruptcy code (IBC) process and improvement in collections have enabled banks to substantially improve their asset quality.

While the IBC framework has helped the banking ecosystem, its implementation still has major room for improvement. For instance, of all the ongoing cases under the IBC, 64 per cent have taken more than the stipulated time to get resolved, and about ₹2.43 lakh crore has been recovered from total claims of ₹8 lakh crore admitted under the process. Timely closure of these cases will enable faster recoveries for banks, and ensure the effective functioning of asset reconstruction companies that typically buy impaired portfolios from the banks. Overall, a significant improvement in asset quality augurs well for the sector and positions it for growth.

3. Growth of Credit Ahead of Liabilities

According to RBI data from November 2022, credit growth—as of September 2022—was at 17.2 per cent year-on-year, exceeding the 9.8 per cent growth in liabilities during the same period. Credit-deposit ratio for the banking sector was at 75 per cent as of September 2022, and it is likely to remain upwards of 75 per cent in the year ahead.

Managing the liabilities side of the balance sheet will be critical for banks in the year ahead to maintain healthy net interest margins (NIM), as the interest rates offered on deposits and borrowings have climbed, and NIMs will now be determined by the extent of deposit mobilisation done by the banks in the year ahead. This is where the scale and reach of a bank matters. Mid- and small-sized banks are expected to be under pressure to raise deposits at higher costs, and thereby their NIMs could be under pressure.

The nature of credit is also ex-

pected to change. While banks were focussing on retail and consumer credit for the past few years, their focus is likely to shift towards MSMEs and wholesale borrowers during the course of the year.

of transactions data is generated by them. And fintechs and digital platforms are leveraging this data to provide credit to MSMEs through innovative products. In that backdrop, banks are likely to fight back. But that would require the banks to change the way they do business with MSMEs. They would need to devise new ways of catering to the MSME sector by finding innovative ways—to source credit leads, make credit available in a timely manner, launch innovative product categories, and conceive newer

Consolidation of the public sector banks and the recent merger of HDFC Bank and HDFC Ltd are likely to shape potential strategic M&A options in the private sector in the year ahead

| 87

pected to change. While banks were focussing on retail and consumer credit for the past few years, their focus is likely to shift towards MSMEs and wholesale borrowers during the course of the year.

4. MSMEs, an Area of Focus

With over 63 million MSMEs (per the National Sample Survey) in the country, the total credit outstanding with the MSME sector was ₹17.83 lakh crore, per a report by the RBI. The credit flow to the MSME sector has grown at 11 per cent over the previous year, and as the sector is vital for economic growth and employment generation, it offers significant potential for credit growth.

However, the availability of adequate collateral has often been an issue for MSMEs availing credit, resulting in them being starved of it. But now, with MSMEs participating actively in the digital economy and e-commerce, a significant amount

mechanisms to assess creditworthiness—by leveraging the digital data ecosystem and effective monitoring of credit lines through robust processes and technology.

5. Innovation and the Digital Pivot

The transformation to a digital ecosystem has been an area of focus for banks over the past few years due to which investments in retail and consumer banking will start to mature in the year ahead. However, banks are now expected to increase their focus on the MSME and wholesale segments.

The recent guidelines from the RBI on digital lending also has implications for the banking sector, as the onus of complying with the new norms lies with the regulated entities (RE) like banks. Hence, they will be required to ensure the security and confidentiality of all data and processes with respect to their business partners and fintechs,